

Article | 15 June 2026

FX TALKING BRAZIL MEXICO

Latam FX Talking: A few clouds on the horizon

Latin America has been viewed as a bastion of FX stability so far this year. Yet a few wrinkles are emerging – from politics in Brazil to a trade re-negotiation in Mexico to the outlook for Chile's copper industry. Even so, Brazil's status as a high-yielding energy exporter should protect the real, and we remain bullish here



The outlook for the copper industry in Chile adds a wrinkle to Latin America's FX stability

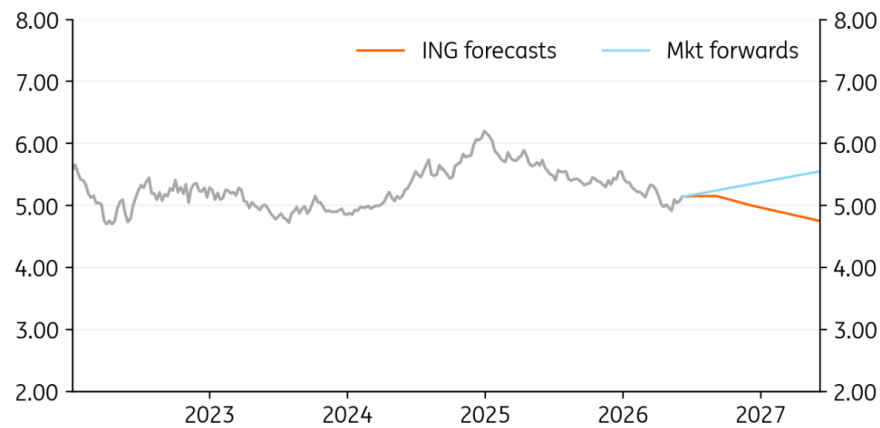
Main ING Latam FX Forecasts

	USD/BRL		USD/MXN		USD/CLP	
1M	5.15	↑	17.50	↑	925	↑
3M	5.15	↓	17.50	↑	925	↑
6M	5.00	↓	17.25	↓	925	↑
12M	4.75	↓	17.25	↓	900	↓

USD/BRL: A little underperformance comes through

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	5.1000	Neutral	5.15	5.15	5.00	4.75

- We’ve started to see some underperformance in the real over the last five to 10 days, driven mostly by local interest rates. Markets are now pricing roughly 125bp of tightening over the next year, which looks too aggressive to us.
- Fears of economic overheating — stoked by Brazil's strong 1.1% quarter-on-quarter GDP print in 1Q and the Lula administration’s loose fiscal stance — helped drive the recent rates-led sell-off. Additionally, Lula pulling ahead in presidential polling seems to have weighed on BRL.
- But with 13% implied yields, the BRL remains an expensive sell. And ultimately, high yields, Brazil’s energy exporter status and perhaps high crop yields on El Niño should keep BRL supported.

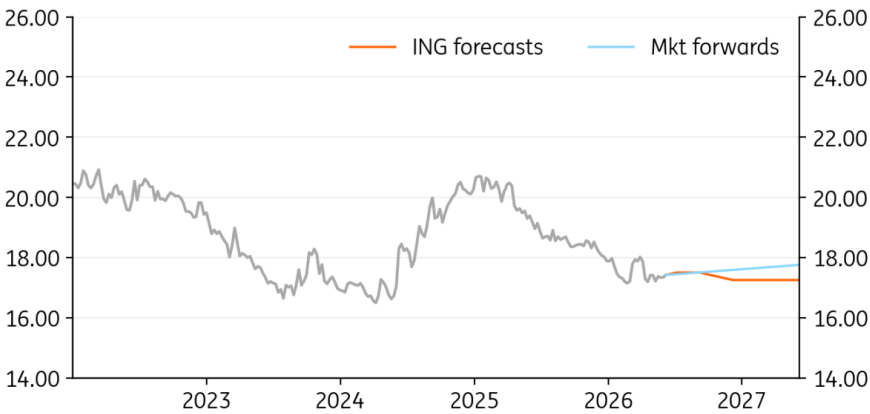


Source: Refinitiv, ING forecasts

USD/MXN: MXN interest rate protection is a little lean

	Spot	One month bias	1M	3M	6M	12M
USD/MXN	17.2100	Mildly Bullish 	17.50	17.50	17.25	17.25

- The peso has been performing relatively well during this corrective period in risk assets. A 2.5% correction is not a bad outcome for a high-beta EM currency. The next couple of months could be a difficult period for EM assets; we see potential MXN weakness. And after a two-year, 475bp Banxico easing cycle, the Mexican policy spread over the US is now a lean 275bp. This is close to the lows over the last decade.
- The USMCA re-negotiation looks set to drag on, with the US pushing for stricter rules of origin. This uncertainty can weigh on the market.
- We don't think Banxico wants USD/MXN to trade too far under 17.00, which in any case looks unlikely this summer.

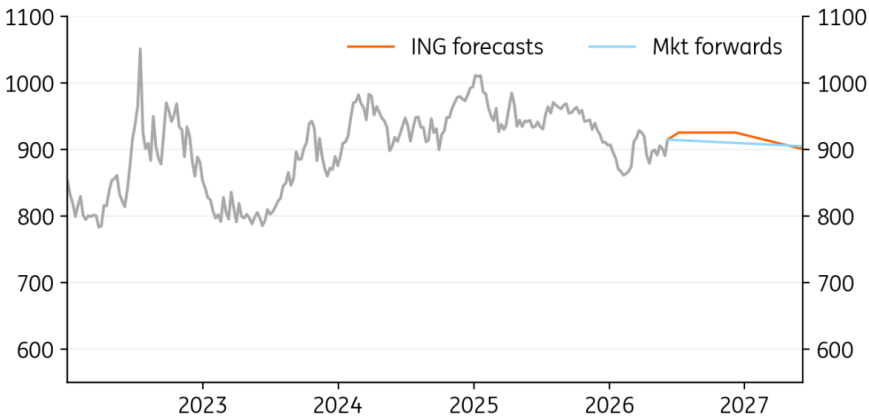


Source: Refinitiv, ING forecasts

USD/CLP: Copper story could prove problematical

	Spot	One month bias	1M	3M	6M	12M
USD/CLP	905.0300	Mildly Bullish 	925.00	925.00	925.00	900.00

- Higher US rates have pushed USD/CLP toward the top of its broad 850–950 range. Another sharp rise in energy prices in the coming months would be particularly unwelcome for Chile. We’re a little worried about Chile’s copper production later this year, where more limited access to sulphuric acid, linked to Middle East-related supply disruptions, could hit activity.
- We’re also waiting to hear about US tariffs on refined copper products – a decision is due by the end of June. A delay or a tariff could keep copper prices bid, while no tariffs could see copper prices give back some of their recent gains.
- Expect USD/CLP to continue trading in an 850-950 range, with a top-side bias given the current strengthening dollar story.



Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user’s investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or

THINK economic and financial analysis

misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.